Property Management Agreement

This property management agreement is between **Collie MI Properties LLC** as authorized agent and owner of the property(ies) listed in addendum A and hereinafter referred to as "OWNER", and Tradewinds Development Group, LLC hereinafter referred to as "MANAGER." This Agreement shall be governed by and construed in accordance with the laws of the State of Michigan.

AUTHORITY TO RENT AND MANAGE PROPERTY:
OWNER gives MANAGER the Exclusive Right to secure a tenant and manage the real and personal property as described in addendum A (hereinafter referred to as "the subject properties") beginning **July 1st, 2024** and continuing for a period of not less than twelve (12) months except as defined in this document.

The parties hereto recognize they are bound by the Civil rights Act of 1866, Title VII of the Civil Rights Act of 1968 and the United States Constitution and that the subject property will be offered to prospective Lessees without regard to race, color, religion, sex, national origin, age, disabilities, or familial status.

MANAGER OBLIGATIONS AND AUTHORITY
MANAGER agrees to use due diligence to manage, operate and lease the property in accordance with this agreement. OWNER expressly grants to the MANAGER the following authority:

A. Full management and control of the subject property, except authority and responsibilities expressly retained by OWNER, with authority to collect all rents, other monies and securities from tenants or related to the subject property and issue receipts therefor.
B. To prepare, negotiate and execute new leases and renewals of existing leases in accordance with the rent schedule, approved by MANAGER.
C. To have minor repairs made, to purchase necessary supplies and to pay all bills and to charge same to OWNER. MANAGER will obtain prior approval of OWNER for any item or service more than $300 per occurrence, except for monthly or recurring expenses and emergency repairs which in MANAGER'S opinion are necessary to prevent property from becoming uninhabitable or sustaining further damage, to avoid suspension of services required to be provided by law or lease, or to avoid penalties or fines imposed by a governmental agency. MANAGER shall retain $300 per house in escrow for any repairs, and/or emergency repairs that are necessary to the property with the OWNER'S approval.
D. Enter into contracts on OWNER'S behalf for utilities, public services, maintenance, repairs and other services, as MANAGER deems advisable.

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E. MANAGER will collect a security deposit from each tenant equal to 1 or 1.5x the monthly rent. The security deposit will be held by the MANAGER and all, a portion or none will be returned to the tenant in compliance with all applicable laws
F. MANAGER will forward any pet deposits and/or fees collected to the OWNER during the reporting cycle for the month these funds were collected
G. To initiate & prosecute eviction and damages actions on behalf of OWNER, at OWNER'S expense, and to procure legal counsel for this purpose. MANAGER is given the exclusive authority to process and determine in its professional judgment the amount of claim against any security deposit on behalf of OWNER, to charge the Tenant accordingly and/or settle any claim with the Tenants(s)relating to said deposit upon advice of legal counsel. MANAGER shall not be held liable to OWNER for failure to make any claim(s) against a security deposit for any damages that were not readily apparent to MANAGER. Manager is not responsible for items missing, lost or damaged property, or non-collected rental income under any circumstances, including but not limited to theft/vandalism/ negligence of tenants, their guest or vendors.
H. To advertise premises at the expense of MANAGER.
I. To hire and discharge on behalf of OWNER, and pay from OWNER'S funds, all persons necessary for the maintenance and operation of the property. It is understood that all persons so employed shall not be deemed to be employees of the MANAGER and shall always be considered as independent contractors.
J. No separate account will be maintained with OWNER'S funds unless specifically requested by OWNER.
K. The OWNER agrees that the MANAGER shall collect and keep fees including but not limited too late, non-negotiable check, lockouts, missing key, missed appointments, roommate change, mortgage verification, application and administrative fees from tenants and prospective tenants, and that these fees are the property of the MANAGER to offset the MANAGER'S expenses in enforcing the respective Lease Agreement provisions. If these fees are not paid by the tenant the OWNER agrees the fees can be charged to the OWNER.
L. In the event a prospective Tenant places a holding deposit with broker and fails to take possession, said deposit, if retained, shall be disbursed 50% to OWNER and 50% to MANAGER. MANAGER retains the right to refund this deposit to prospective Tenant in full or part upon the advice of legal counsel.
M. Prepaid rent is the property of the tenant until after the due date and as such will be dispersed to clients during the month in which it was intended. No exception to this rule is allowed.

MANAGER RESPONSIBILITIES:

The MANAGER agrees to accept the following responsibilities:

A. To use due diligence in the management of the premises for the period and terms herein provided, and agrees to furnish the renting, leasing, operating and managing services of Tradewinds Development Group, LLC, toward the subject property. Tradewinds Development Group, LLC assumes no liability for any failure of or default by any tenant in the payment of any rent or other charges due OWNER or in the performance of any obligation owed by any tenant to OWNER pursuant to any lease or otherwise.
B. To communicate and render monthly statements of income, expenses and other charges and to remit funds directly to OWNER less the rental and management commission, fees, reserve amount or any other costs or expenses provided for in this agreement by regular bank check via US Mail, wire transfer, bank deposit, or ACH any 3rd party fees deducted. It is understood that no funds will be released until monies have cleared the MANAGER'S trust account. In the event present or future disbursements shall be more than the rents that are collected by MANAGER, OWNER hereby agrees to pay such excess within 20 days upon notification by MANAGER. If in MANAGER'S judgment it may be necessary or proper to reserve or withhold OWNER'S funds to meet obligations which are or may become due thereafter and for which current income is or may not be adequate, MANAGER may do so.

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C. MANAGER assumes no liability for any acts, debts or omissions of OWNER, or any previous management or other agent of either. Nor does MANAGER assume any liability for ANY violations of environmental, building, city, rental or other regulations which may become known prior, during or after the period this Agreement is in effect. Any such regulatory violations or hazards are the responsibility of the OWNER

OWNER'S AUTHORITY AND RESPONSIBILITIES:

The OWNER expressly retains the following authority and responsibilities:

A. The right of final approval of new tenants, which shall be based on the tenant's job security, creditworthiness and upon the advice of MANAGER. If a qualified tenant is not approved by OWNER in a timely manner that results in the loss of that tenant the MANAGER may charge the OWNER the placement fee.

B. To decide jointly with MANAGER on a rent schedule for new tenants based on the MANAGER'S knowledge of the rental market, or as communicated to OWNER by MANAGER, and knowledge of the required upkeep and routine maintenance of the property.

C. To approve any capital expenditures above $300 within 24 hours of request.

D. To enter the property at reasonable intervals with appropriate notice to any tenant(s) for the purpose of making inspections to affirm the habitability of the property and to assure that MANAGER is performing management responsibilities as agreed.

E. To maintain and assume responsibility for all expenses associated with the subject property.

F. To pay reasonable expenses incurred by MANAGER in obtaining legal advice regarding compliance with any law affecting the premises or activities related to them.

G. To hold MANAGER harmless and indemnify MANAGER from any and all damage, costs and expenses incurred by MANAGER, including attorney's fees and costs at all trial and appellate levels, from any and all proceedings, suits or other claims in connection with the management of said property, except in the case of proven gross negligence or illegal acts by MANAGER, and from all liability for injuries to persons or property suffered or sustained by any persons whomsoever.

H. OWNER is responsible and liable for all contracts and obligations related to the Property (for example maintenance, service, repair and utility agreements) entered into before or during this agreement by OWNER or by MANAGER under MANAGERS authority under this agreement. OWNER agrees to hold MANAGER harmless from all claims related to any such contracts.

I. To hold MANAGER harmless and indemnify MANAGER from any theft or damage done to the property. OWNER gives MANAGER authority to place a lockbox on the property during rental periods and understands the risk. OWNER, at their expense, request MANAGER to obtain and install a security system including camera's, board up the property, remove valuables such as but not limited to furnace, hot water heater etc….during vacant periods. Reasonable care should be taken by OWNERS to protect their property.

J. To carry, at OWNER'S sole expense, public liability insurance of no less than $500,000 and property damage and extended coverage insurance in an amount sufficient to protect the interests of OWNER and MANAGER. Said insurance will name both MANAGER and OWNER as insured parties, and will specifically cover the indemnity and hold harmless provisions of subparagraph H. above.

K. To hold Manager harmless for any loss or damage to property at any time any rental income not collected

L. To abide by all city regulations and codes regarding occupancy, rental and vacant homes.

M. OWNER to obtain landlord/rental license/certification and certificate of occupancy/compliance or similar as required by local municipalities. OWNER holds MANAGER harmless for all fines and penalties if these

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are not in place. MANAGER will assist OWNER for an additional fee. See fee schedule for more information. This includes blight, grass, snow and other tickets, fines, penalties, interest, court costs, legal fees for both OWNER and MANAGER

N. Outstanding balances reflected on monthly reports or invoices not paid within 10 days are subject to a 10% monthly interest rate
O. OWNER is responsible to follow all city codes, regulations and laws governing their assets and assume all costs, penalties, fines, court costs and legal fees needed to follow said codes, regulations and laws. OWNER understands and accepts it is their responsibility solely, even where MANAGER is assisting them, to obtain a rental registration, certificate of occupancy (or similar) and/or lead clearance or any other local code, rule, regulation or law. OWNER assumes all risks.
P. OWNER understands that MANAGER is not a home inspector, lawyer or CPA and as such will not rely on any information given on these topics as if MANAGER were.
Q. Regardless of who researches and pays property taxes / blight tickets / city fines & penalties OWNER agrees and understand they are 100% liable for the payment of each and similar items and/or the penalty/interest or foreclosure that results on any amount that is unpaid knowing or unknowingly. It is the OWNER responsibility to know.

COMPENSATION:
OWNER shall pay MANAGER the following fees:

A. For management: a flat fee of 10% on rents collected.
B. For leasing: 100% percent of the first full months rent regardless of the lease term. If the tenant is evicted for nonpayment within the first 6 months the home will be released at no cost to OWNER
C. See fee schedule for a complete list of fees.
D. Additional fees may be assessed with prior approval of both parties.

PROCEDURE FOR PAYMENT TO OWNER IS AS FOLLOWS:

- To provide funding for any possible unforeseen repairs and maintenance, OWNER understands and agrees that received rental payments will be paid to OWNER between the 8th and 10th business day of the following month less all expenses incurred during that month. For example, January's reports and funds will be delivered between the 8th and 10th business day of February but will cover the complete month of January. This time frame is an estimate and may vary slightly from month to month.
- OWNER understands and agrees that ANY outstanding balances owed on a property will be deducted from rental income prior to payment to OWNER.
- OWNER understands and agrees that any fees incurred to provide payment to OWNER (ie wire charges) is the responsibility of the OWNER and will be deducted from proceeds paid to OWNER.
- OWNER understands and agrees that NO payments will be provided to OWNER until OWNERS tax identification number (EIN, ITIN, SSN) has been provided to MANAGER.
- Payment will be made to OWNER in the form of bank wire, ACH, direct deposit or business check by US MAIL, designated by OWNER.
- OWNERS with more than 1 (one) property under management with MANAGER agree that the MANAGER can combine all reserve funds and/or rents collected to pay off monthly expenses and this will be reflected in a portfolio report view.

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- All payments to OWNERS may be delayed until after a proper federal identification number is provided to manager such as an EIN, ITIN or SSN.

Entire Agreement/No Oral Modification

This document is the entire agreement between the parties regarding MANAGER'S relationship with OWNER, and can only be modified in writing, signed by the party against whom enforcement is sought. Any previous agreements and/or representations, written or oral, are of no effect. This agreement shall be binding upon the parties and their respective heirs, representatives, successors and assigns. OWNER acknowledges receiving a copy of this agreement.

Termination:

Either party may terminate this agreement at any time upon giving thirty (30) days prior written notice to the other party. Each Party reserves the right to terminate this agreement immediately with written or verbal notice if in the sole opinion of said Party's legal counsel, the other Party's actions or inactions are illegal, improper, or jeopardize the safety or welfare of tenants or any other persons. In the event this agreement is terminated, the Party's rights provided for in this agreement shall survive such termination, including but not limited to the right to payment as provided for herein. All monies expended by either Party in reliance upon this Agreement shall be paid to the other prior to final cancellation. Failure to give proper notice of termination constitutes an automatic and continuous renewal of this agreement by the parties to the terms set forth herein. OWNER and MANAGER agree that no transfer of management, documentation, work product et all will commence until all funds owed to either party have been paid in full and that MANAGER will continue collecting rents until such time. When both parties have been paid in full a transfer of management/ownership letter will be sent to all tenants. If the agreement is broken prior to the term expiration MANAGER reserves the right to charge a cancelation fee up to $250 per house. If termination is requested by the OWNER, the MANAGER may charge all staff time to wind down and transfer the portfolio at the hourly rate listed in the fee schedule. If cancelled during the first 12 months, MANAGER may charge all staff time going back to the beginning of the contract at the hourly rate listed in the fee schedule. If homes are being leased during the termination period, the MANAGER may charge the placement fee to cover the cost of marketing and leasing even if a qualified tenant is not produced.

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NOTICES:
For the purposes of this Agreement, all notices required herein shall be deemed to have been served upon the other party when mailed to the following addresses or such other addresses as shall be changed in writing, properly notifying the other party:

Owner's authorized agent:	Tradewinds Development Group, LLC
TAX ID #:	20-4605746
Mailing Address:	145 S. Livernois #294, Rochester Hills, MI 48307
Email Address:	scott@tradewindsgroup.com
Phone Number:	248-209-6766
Fax Number:	248-209-6754

Facsimile and or Email Signatures: The parties agree that this agreement may be executed by facsimile, authentisign or email and such facsimiles, authentisign or emails shall be binding as if originals.

OWNER(s): Collie MI Properties LLC

10:21a.m. 07-03-2024

Anh Luong
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________________________________ Date: July 1st, 2024
By: Anh Luong
Its: Member

MANAGER: Tradewinds Development Group, LLC

________________________________ Date: July 1st, 2024
By: Scott MacDonald
Its: Sole Member

ADDENDUM A

PROPERTY LIST

Added: **July 1st, 2024**

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- 20259 Oakfield St, Detroit, MI 48235